



16 Essential Product Metrics (explained)

across the entire user journey



Conversion Rate

A conversion rate records the percentage of users who have completed a desired action

E.g. 1,000 users land on a Loan enquiry landing page. Out of 1000, 100 users submit loan enquiry form.

Here the conversion of Loan Enquiry form would be 10%

Customer Acquisition Cost

Customer Acquisition Cost (CAC) is the money a company spends to acquire a new customer

E.g. If Swiggy acquires 10,000 customers in a day at a cost of INR 5,00,000. Out of 10,000 customers 2,000 customers made a purchase.

Here, the customer acquisition cost would be INR 250 ($5,00,000/2,000$)

Here the user acquisition cost would be INR 50 ($5,00,000/10,000$)

Customer Life Time Value (CLTV)

CLTV is total business or revenue expected from the customer till he/she churns away

CLTV is critical factor in deciding how much you want to spend on acquiring a customer

Churn Rate or Attrition Rate

Rate at which customers or users stop doing business (or using product) with a company

E.g. Monthly churn rate of 30% means that if there were 100 users at the the month start, only 70 will remain at the end of month

Churn rate = (Number of people who stop using the product / Number of customers at the start of the time period) X 100

Retention Rate

Retention rate measures the percentage of customers or users your business or product retains over a given period

Retention rate = $100 \times (\text{Users at the end of the period} - \text{User acquired during the period}) / \text{Users at the beginning of the period}$

We commonly use D0, D7, D30 retention terms to signify same day, 7 days and 30 day retention

Unique Users/ Visitors

Unique Users refers to the number of distinct individuals requesting screen/pages from an app/ website during a given period

While counting unique users, if a user comes twice during the day, he will be counted only once

Daily Active Users (DAU) or Monthly Active Users (MAU)

Number of unique users who come to your product (open an app) in a day/month

DAU or MAU is core metric to measure growth of your product

A growing DAU or MAU indicates that more and more users are coming to your product

DAU / MAU Ratio (Stickiness)

DAU/ MAU ratio measures the stickiness of the product

High engagement products have a high DAU/ MAU ratio

Facebook is believed to have a 50+ DAU/ MAU ratio

Average Time Spent (Ts)

Average time spent on a website or app is a measure of the time an average user spends before exiting a webpage/app

Time Spent is a critical metric to measure for content driven products or social media products like facebook, tiktok, inshorts, etc.

Page Views (PV)

PV is count of pages served to users in a web app. Screen Views (SV) is corresponding metric for mobile apps

PV is a critical metric to measure for content driven products like inshorts, moneycontrol, ndtv etc.

For firms relying on display advertising for revenue, higher PV means higher revenue

Bounce Rate/Drop Off

Bounce Rate is defined as the percentage of visitors that leave a webpage (or app screen) without taking an action, such as clicking on a link, filling out a form, or making a purchase

E.g. If 1,000 users landed on a page and 800 leave without performing desired action,
Bounce Rate = 80%

Click Through Rate (CTR)

Click-through rate (CTR) is how many people clicked on an ad (clicks) divided by the number of people who saw it (impressions)

Same concept can be applied to a Call to Action (CTA) button.

E.g. If 1000 users saw a CTA button and 10 users click on it, $CTR = 1\%$

Call to Action (CTA)

Call to Action (CTA) is a prompt on a website/app that tells the user to take some specified action

E.g. a “Buy Now” button asking the user to add a product to cart

In product and marketing world, teams make huge effort to optimize CTA buttons to improve conversion and drive revenue

Average Order Value (AOV)

Average order value (AOV) is the average amount of money spent per transaction

Average Order Value = Total money spent in a period / Total number of orders in the period

E.g. If Zomato receives 1,000 orders and makes INR 5,00,000 in a day, $AOV = INR\ 500$

Average Revenue Per User (ARPU)

ARPU is average amount of revenue generated by each active user of your product

ARPU = Revenue during a period / No of users during the period

E.g. Business makes INR 1,00,000 during a month. No of users who engaged during the period is 1,000. ARPU = INR 100

Net Promoter Score (NPS)

NPS measures the loyalty and satisfaction of customers. It is usually measured after sale has been completed

It is usually measured by asking your customers: *“On a scale of 0 to 10, how likely are you to recommend our company/product/service to a friend or colleague?”*

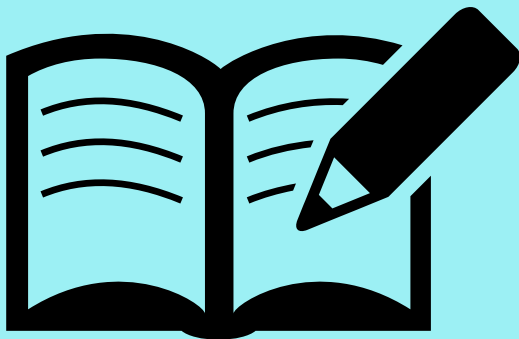
$$\text{NPS} = \% \text{ of users rating 9 or 10} - \% \text{ of users rating 0 to 6}$$

E.g. If 100 customers responded. 40 users rated 9 or 10 & 20 users rated between 0 to 6.

$$\text{NPS} = 40\% - 20\% = 20$$

Hope this was helpful !

**Please Like ❤️ to keep receiving
further updates**



Registrations open for
Product Management – April Cohort!
Register now on pmstack.co